37. Business combinations

On 31 May 2019, Spirent acquired a key business from Integrated Navigation Systems Limited (INS), a company based in the United Kingdom, for cash consideration of $1.9 million. The acquired business is reported within the Group's Networks & Security operating segment.

INS develops and supplies the Group with a system for recording GNSS and Wi-Fi signals. The business acquisition will enable Spirent to streamline its supply chain process and improve gross margin on this product line.

From the date of acquisition to 31 December 2019, the acquired business did not contribute any revenue but contributed $0.4 million of profit before tax, as a result of lower cost of sales, to the result of the Group before charging $0.1 million of acquisition related costs and $0.1 million of acquired intangible asset amortisation. If the combination had occurred at the beginning of the financial year, there would not have been any revenue, and $1.0 million of profit before tax, as a result of lower cost of sales, would have been included in the Group result, before charging $0.1 million of acquisition related costs and $0.2 million of acquired intangible asset amortisation.

The fair value of the identifiable net assets acquired is set out below:

			2019 $ million
	Book value	Fair value adjustment	Fair value
Intangible assets	1.0	-	1.0
Inventory	0.1	(0.1)	-
Total identifiable net assets	1.1	(0.1)	1.0
Goodwill			0.9
Consideration			1.9

The intangible assets acquired represent current technology and have been assigned a useful life of five years.

The inventory acquired on acquisition amounting to $0.1 million was written down to a fair value of nil.

The goodwill arising of $0.9 million consists largely of the synergies and economies of scale expected from the combination together with intangible assets not qualifying for separate recognition, such as workforce in place. The goodwill recognised is expected to be partly deductible for income tax purposes.

Acquisition related costs were $0.1 million and have been expensed to other items within the income statement.

38. Related party transactions

Transactions between the Company and its subsidiaries, which are related parties, have been eliminated on consolidation and are not disclosed in this note.

Remuneration of key management personnel

The remuneration of the Directors, who are the key management personnel of the Group, is set out below in aggregate for each of the categories specified in IAS 24 'Related Party Disclosures':

	2019 $000	2018 $000
Short-term employee benefits	3,540.9	3,842.1
Share-based payment	1,982.7	664.6
	5,523.6	4,506.7

No Director received compensation for loss of office (2018 nil).

There were gains of $2,010,731 (2018 $852,742) on the exercise of options by key management personnel in 2019.

For further details refer to the Report on Directors' remuneration on pages 77 to 101.